

Micron Technology, Inc.

MU NASDAQ

Buy

\$973.50 ▲ 2.49%

12M Price Target
\$1100.00

52-Week Range
\$113.46 – \$1255.00

Market Cap
\$1.10T

MU: Memory Supercycle Roars Back, Korea Rally Confirms

WHAT HAPPENED

- MU jumped another 2.5% to \$973, capping a 13% rip in five sessions. The catalyst is global: Korea's KOSPI just re-entered a bull market, with SK Hynix and Samsung — MU's two direct HBM competitors — ripping overnight. When the whole memory complex moves together like this, it's the market pricing in that DRAM/HBM prices are going HIGHER, not just that MU won a contract.
- The Intel-back-into-memory chatter (Investing.com piece) is noise for now, but worth flagging — if Intel actually redeploys \$20B into memory, that's a 3-year headwind. Market is ignoring it because Intel is years away from being competitive.

WHY IT MATTERS

Here's what this move is really telling you: memory is no longer a "cyclical trade" — the market is starting to price it like AI infrastructure, which means higher sustained multiples. The fact that MU is up 13% in a week on ZERO company-specific news means this is a macro/sector re-rating, driven by HBM (High Bandwidth Memory, the chips that sit next to Nvidia GPUs) pricing power. The trillion-dollar market cap is doing something psychologically important — MU has joined the AI mega-cap club, which brings passive index buying but also means every AI wobble now hits harder. Watch for a cooling-off: today's volume was only 7M vs 36M yesterday, so this last leg up is thin and could give back a few percent easily.

POLICY & POLITICAL WATCH

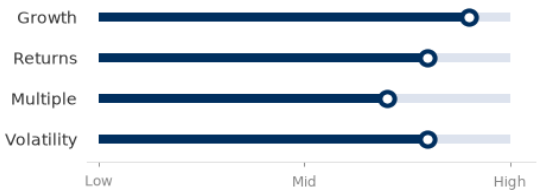
The CHIPS Act remains MU's biggest tailwind — they've already been awarded ~\$6.1B in direct grants for their Idaho and NY fabs, and the Trump administration's push to onshore semiconductor manufacturing has been surprisingly consistent (tariff rhetoric aside, the money is flowing). The active watch item: export controls on advanced memory to China. If the administration tightens HBM export rules further — which has been discussed all summer — it's a double-edged sword: hurts revenue short-term (China is ~11% of sales) but locks Samsung/SK Hynix out of the same market, protecting MU's US/allied customer base. Also keep an eye on any noise around Section 232 tariffs on semiconductors, which would be a net positive for domestic fab operators like MU.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$973.50
12M Price Target	\$1100.00
Upside / (Downside)	+13.0%
Market Cap	\$1.10T
FY2026E Revenue	\$48,500M
FY2027E Revenue	\$62,000M
FY2026E EPS	\$14.20
FY2027E EPS	\$22.50
Fwd P/E	68.5x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$1080.00	\$1000.00	\$880.00
6 Months	\$1300.00	\$1150.00	\$850.00
1 Year	\$1500.00	\$1200.00	\$780.00
2 Years	\$1800.00	\$1350.00	\$700.00
5 Years	\$2500.00	\$1700.00	\$600.00
10 Years	\$4000.00	\$2400.00	\$500.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+7% in 5 days) is quietly leading — that's an AI power-demand story as much as an oil story. Memory/semis obviously ripping on the Korea bull market read-through.

COOLING OFF: Consumer Discretionary is soft (-0.9% on 5D), suggesting consumer is weakening — usually a late-cycle tell that could eventually catch up to semis.

ROTATION WATCH: Money is flowing INTO AI infrastructure (memory, power, data center) and OUT of consumer-facing tech. This is a direct tailwind for MU as long as it lasts.

RELATED PLAY: If MU keeps running, the picks-and-shovels beneath it — ASML (litho equipment), Applied Materials (AMAT), and utilities powering the data centers (VST, CEG) — all benefit from the same capex wave.

WHO'S WINNING IN THIS SPACE?

- **SNDK (SanDisk):** Up 7% today, riding NAND flash pricing recovery — same supply-discipline story as DRAM.
- **WDC (Western Digital):** Up 4%, similar storage/memory tailwind. The whole storage complex is being re-rated.

MU CONTEXT: MU is actually LAGGING the smaller memory names today (+3% vs +7% for SNDK), which is normal at this stage — money hits the mega-cap first, then chases the smaller, more levered plays. If you're already long MU, that's fine. If you want fresh exposure, the smaller names have more torque but also more downside if the trade unwinds.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

Position Size: 3-5% of portfolio

Entry Points: \$880-920 on pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: HBM pricing rolls over, or Intel/Samsung meaningfully closes the technology gap

Hedging: Pair with a short on a smaller memory name or buy SOXS puts as tail protection